

deal, and therefore many people view increased dividends as a sign of companies that are doing well. Buffett believes this is true only if investors can get more for their cash than the company could generate if it retained the earnings and reinvested in the company.

If the real value of dividends is sometimes misunderstood, the second mechanism for returning earnings to the shareholders—stock repurchases—is even more so. That’s because the benefit to the owners is, in many respects, less direct, less tangible, and less immediate.

When management repurchases stock, Buffett feels that the reward is twofold. If the stock is selling below its intrinsic value, then purchasing shares makes good business sense. If a company’s stock price is \$50 and its intrinsic value is \$100, then each time management buys its stock, it is acquiring \$2 of intrinsic value for every \$1 spent. Transactions of this nature can be very profitable for the remaining shareholders.

Furthermore, Buffett says, when executives actively buy the company’s stock in the market, they are demonstrating that they have the best interests of their owners at heart, rather than a careless need to expand the corporate structure. That kind of stance sends signals to the market, attracting other investors looking for a well-managed company that increases shareholder wealth. Frequently, shareholders are rewarded twice—once from the initial open market purchase and then subsequently as investor interest has a positive effect on price.

Candor

Buffett holds in high regard managers who report their company’s financial performance fully and genuinely, who admit mistakes as well as share successes, and are in all ways candid with shareholders. In particular, he respects managers who are able to communicate the performance of their company without hiding behind generally accepted accounting principles (GAAP).

“What needs to be reported,” argues Buffett, “is data—whether GAAP, non-GAAP, or extra-GAAP—that helps the financially literate readers answer three key questions: (1) Approximately how much is the company worth? (2) What is the likelihood that it can meet its future obligations? (3)